

# **Law of Equity and Trusts (EQT1)**

## **Module 4: Classification of Trusts**

### **Lesson 3: Charitable Trusts**

#### **Lesson Notes**

KMVTECHUG

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## Charitable Trusts and Pemsel

Charitable trusts are for purposes the law recognises as exclusively charitable. The four heads from Pemsel are: relief of poverty; advancement of education; advancement of religion; and other purposes beneficial to the community. Public benefit and exclusivity are also required.

### Cy-près

Cy-près means “as near as possible”. When a charitable purpose fails, the court may apply the property to a similar charitable purpose. Initial failure usually requires a general charitable intention; subsequent failure is treated more liberally.

**Key idea:** Charities enjoy privileges (including relaxation of some certainty rules and perpetual duration) but must stay within charitable purposes and public benefit.

**Reflect:** *Why does the law insist on exclusivity of charitable purpose?*

## Charitable Trusts in Uganda

Pemsel principles form the foundation. The Trustees Act Cap 270 and NGO/sector legislation regulate trustees and organisations. Always check registration, tax and regulatory requirements when advising on a proposed charity.

### Key Takeaways

- Four Pemsel heads + public benefit + exclusivity.
- Cy-près saves failed charitable purposes where appropriate.
- Cap 270 and regulatory statutes matter in practice.

### Quick Revision Checklist

- ☐ I can list the four heads of charity.
- ☐ I understand public benefit and exclusivity.
- ☐ I can explain cy-près for initial and subsequent failure.
- ☐ I know Cap 270 is relevant to charitable trustees.